Individual Assignment Cover Sheet

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MBA117 – Organisations VS Markets

Company: H&M Hennes & Mauritz UK Limited

Topic: Emissions/Waste

Role: Lending Bank (Lender)

Part 1 – Assessment from a Lending Bank

1.1 Introduction and Motivation

This work presents the actionable solution of a lending organisation for a textile manufacturing company aiming to reduce emissions and waste. Working in three financial institutions during my career, has led me to understand the growing pressure from both the markets and regulators towards green lending.

Additionally, while working in Management Consulting, I had the opportunity to deliver a project for H&M focused on optimising supply chain transparency, costs and environmental impacts. It was focused on quantifying those metrics and contextualise the intricate dynamics from third party providers. The long-term aspiration was to tokenise textile assets and track them through blockchain (Tapscott, 2016). Based on the previous elements. The upcoming sections will be addressed based on previous professional experience and literature review.

1.2 Bank Lending and Sustainability Guidelines

Lending is a complex process where the bank proceeds to provide a loan based on the bargaining position of the business and do an overall risk assessment for defaulting on the debt (Arnold, 2014). The loan agreement is the formal document provided by the lender to determine the terms and conditions, the annual rate, the period to pay it back, late charges and default conditions (DK, 2017). Banks in Europe have been committed to green finance since 2015, and provide more attractive annual rates according to standards of Carbon Emissions reduction (European Investment Bank, 2015).

According to the European Parliament and the European Environment Agency, the fashion industry is required to comply with an increasing amount of sustainability regulations (European Parliament, 2024). In March 2022 the European Union launched the Strategy for Sustainable and Circular Textiles. This plan requires textiles to be more durable, reusable and recyclable, reducing the environmental impact of the textile and fashion sectors. Consequently, banks are required to report in detail about the green loans they provide to different businesses (European Banking Authority, 2023). Several Banks in the UK are reporting to both their stakeholders and customers

their actions on lending to businesses focused on sustainable development. H&M has delivered several efforts on sustainable development across most of their clothes lines and report the consequent financial and non-financial results (H&M Group, 2023).

1.3 Stakeholders

For the purposes of this assessment, stakeholders are defined as per Edward Freeman's 1985 conceptualisation of those individuals or groups that "can affect or are affected" by the organisation activities (Russel-Walling, 2007). This is based on the principle that commercial firms are managed more effectively at strategic level taking the long-term view of those stakeholders. The next subsection presents the primary and secondary stakeholders of the bank relevant to sustainable lending for the Textile Industry. Some of the stakeholders are based definitions of who the main players in corporate finance (Rau, 2017).

1.3.1 Primary Stakeholders

Corporate Client – The company applying for corporate loans

In this case H&M, which has been introduced previously. Critical individuals to remain in communication with the Bank while addressing the lending requirements are the CEO and the Chief Financial Officer. The CFO creates on an annual basis (regularly) a financial plan that forecasts future needs, identifies funding sources, and determines the strategy to seek loans.

Chair and Government Body

The Bank's chair and government body is responsible for taking the most important decisions and overseeing the implementation of strategic objectives, including sustainability related loan schemes and approving the corporate culture, amongst others relevant strategic decisions.

Bank Shareholders

Several global banks including the financial services institution I worked with, had public shares that allow the respective holders to have different levels of partial ownership and influence on the bank decisions. According to their potential voting rights the shareholders can in turn have influence on going ahead with more sustainable lending for the upcoming policies of the bank and its corporate customers.

Customers

Bank customers concerned of sustainability practices are secondary stakeholders in this situation, since there is a growing awareness of consumers of financial services deciding to do retail banking with their financial institutions based on sustainable principles. For instance, the Corporate Knights ranking provides a good assessment of banks sustainability commitments; it was reported that 2.6 Trillion USD were provided as green finance (Corporate Knights, 2023).

1.3.2 Secondary Stakeholders

Credit Agencies

Credit agencies such as Standard & Poor's (S&P) and Fitch play a major factor ranking the sustainability and green financing of different organisations. In this case both a company such as H&M are ranked on the credit worthiness which in turn has major implications securing new loans and funding. At the same time a lending bank can be ranked on their sustainable lending practices as Fitch Group has introduced the Sustainable Fitch ranking initiative (Fitch Group, 2024).

Government Regulators as the FCA and EBA

The Financial Conduct Authority and the European Banking Authority are key regulators under which the conditions of lending should be offered to businesses in the UK and EU respectively. Under a new scheme, it has been proposed for European Banks to create a green loan scheme to spur markets and sustainable companies, given the challenges they need to face to be competitive and profitable. (European Banking Authority, 2023b)

Not-for-profit climate change organisations

Ranking organisations in the topic of sustainability such as the Corporate Knights developing the own methodology to rank top 100 sustainable companies. Also they rank financial institutions (Corporate Knights, 2024). The United Nations as the well renown global organisation has several guidelines for ensuring that global institutions including banks comply with sustainable practices. A relevant guideline is the UN Sustainable Development Goals (United Nations 2024). Both organisations, amongst others, play a major role in the public perception of the bank and H&M too.

1.4 Introduction for the potential conflict

Based on the stakeholders introduced previously, there can be a potential conflict of priorities towards the following hypothetical scenario of lending to H&M under green finance principles:

"The Bank is considering modifying their lending policies to Textile and Fashion customers as H&M under the grounds that it would be complying with recommendations from the regulators and non-for-profit organisations. This would imply reducing the annual interest rate for those loans and accepting higher likelihood of loan payment default if the borrower was not to be commercially successful".

The Primary (PS) and Secondary (SS) Stakeholders are presenting their hypothetical arguments towards the new policy as follows:

PS – Bank Governing Body– In favour, it seems to be a good opportunity to improve the long-term relationship with the regulators and government organisations.

Conscious of the bad reputation of some competitors (Lawrence, 2018) they would aim to improve the image of the investment bank sector. They have fast assessment based on their experience (Kahneman, 2011) about these sustainable initiatives' success, and achieve favourable conditions from the regulators and government bodies.

PS – Corporate Customer– H&M – In Favour, obviously, as they plan to follow the guidelines provided by the European Environment Agency, and the pressure from some of their consumers to move forward with more sustainable practices. Hence, they need the loans from the bank.

PS – Shareholders Class A and B– The majority of them is in favour, since they consider this potentially would increase the value of their shares, due to macro trends on the valuation of companies doing low carbon footprint initiatives, and they would vote for approving new policies to lend to those related companies. Shareholders and consumers of financial services are shifting their expectations to get clearer digital insights on long-term performance or organisations (Schatt, 2014).

PS – Shareholders Class C– The majority is against since they own their shares for shorter period and don't have voting rights. Nevertheless, they could use other actions to influence other decision makers in the bank. They follow principles on short term investing and mitigating actions to reduce risk (Bogle, 2017).

SS – Government Regulators– In Favour, since these regulators plan to increase the spun outs of small companies focused on sustainability. In addition, this would be beneficial to the market.

SS – Sustainability Not-for-profit Organisations– In Favour, since they aim for the benefit of the whole community. They are conscious that without proper funding the business models of the sustainable focused companies would not last to make the proper impact.

Leadership of the Bank CEO and CFO– Against, lending to this kind of customer seems to be beneficial in the short term only to "green-wash" the image of the bank, but it can lead to higher risk of default. In addition, they have a good understanding of how interconnected markets behave (Easley and Kleinberg, 2018) and see that for the networked pricing dynamics of sustainable clothes and textiles, there are higher risks for unfavourable market conditions.

1.5 Discussion of the Strategy

Most of the stakeholders can come under a general agreement to minimise risks of lending to H&M, with an achievable strategy to be completed by 2035. Strategic thinking needs to consider the capabilities of the firm, how they plan to fulfil their customer needs (Owen, 2018) and apply this to their sustainability plan.

1.5.1-Mitigating factors:

As the bank representative, I will need to review the borrowing request from H&M CFO. H&M is making a strong commitment to sustainability, requires a detailed analysis and proactive risk management. Below are shown some strategies the bank could implement to minimise the risks associated with this type of loan:

- Evaluation of objectives: It is essential to deeply understand H&M's sustainability objectives, key performance indicators (KPIs), and how they align with market trends and environmental regulations.
- Risk identification: Analyse the risks associated with implementing these initiatives, such as the volatility of sustainable raw material prices, changes in consumer preferences, or competition in this sector. As a bank we will benchmark against other clients that are within the textile sector and do a full financial model of the Weighted Average Cost of Capital as we saw during Corporate Finance session. The Betas of the market, the project and the company will be derived based on the risk-free market rates.

1.5.2- Objectives and Key Results (OKRs):

Below are some relevant OKRs (Doerr, 2018) required to be satisfied by 2035:

I. Objective: Ensure comprehensive risk assessment before loan approval
   a. Key Result: Verify at least 90% accuracy in financial statement evaluations by cross-checking with independent audits.
   b. Key Result: Ensure that the risky loan undergo stress testing for worst-case scenarios before approval

II. Objective: Improve monitoring and early warning Systems for the risky loans
   a. Key Result: Implement real-time monitoring tools that flag any financial distress indicators on H&M financial status (drop in revenue, cash flow issues).
   b. Key Result: Achieve a minimum Net Interest Margin (NIM) of 5% on high-risk loans.

The measures listed above are examples of what could be done to reduce the risk and get a higher compensation for it. The main alternative to invest onto sustainability committed companies would be renewable energies, which could have a similar environmental impact that textile reduction, but with a lower risk rate.

1.6 Conclusion

This first part of the assessment focused on understanding the role it plays a Bank as lender for our textile and fashion company H&M around sustainable lending. Most of the views presented were under the context of how the bank, it’s primary and secondary stakeholders would take sides around approving a more sustainable lending policy towards companies as H&M.

There are different motivations around going in favour or against the new policy given potential variations on returns with respect to the lending, risk around debt default status and long-term implications for the bank from a Public Relations and profitability perspective. A set of mitigating measures to compensate for a potential higher risk of default, is considered for H&M while requesting a loan for becoming a more sustainable company and reduce waste and pollution at a profitability expense.

Part 2 – Statement and analysis of the other roles perspectives

2.1 Introduction

This second part considers the positions of the other team members assuming a specific role as stakeholders or relevant party in this process. Firstly, the most relevant stakeholders from the perspective of the bank are analysed and discussed. Secondly, although not identified as stakeholders, the remaining roles will be evaluated from their arguments.

2.2 Analysis

2.2.1 Government Body

As discussed in Part 1. This primary stakeholder is one of the most important ones, since they approve new legislation, financial benefits and the overall government set of initiatives that will play a major role in the success of funding and lending to businesses focused on sustainability. Carbon taxation and carbon credit trading are two relevant concepts introduced, which help to incentivise corporate accountability. As per the previously introduced objectives it would help the bank to rank different customers based on their actual metrics and key quantitative results on waste reduction in the form of OKRs (Doer, 2018). Modular production is a technical approach focused on reducing waste for the textile and fashion sector.

2.2.2 CEO

This is one of the most important roles, and as exposed in Part 1, the CEO of H&M should present a solid plan on how their sustainability strategy should be including applying for lending or funding and provide more context on how to reduce waste as a top polluter in their sector. The way the content is presented reflects a superficial assessment of reference material copying and sticking together several pieces of text from other sources unfortunately. Consequently, poor definition of market conditions, stakeholders and limited strategy are shown. Focusing on the meaningful points, the transition to waste reduction operations is costly from a know-how and technical point of view. To overcome this challenge the CEO relies mainly on relying on consumer trends and government support, while loans and investors are not mentioned. Stakeholders as investors and banks would find it challenging to provide a loan to this

client under the context mentioned above. It would be beneficial if he could add an structured strategy with clear milestones and objectives to get to 2035 by OKRs (Schmidt, 2014).

2.2.3 Investor

There are some elements of similarity with respect to the bank perspective presented in Part 1. There are similarities with respect to reducing risk. While the bank assess risk on an individual basis of the borrower to go into default, the investor focuses on reducing risk from a portfolio diversification perspective. The proposed market-based and firm-based approaches to reduce emissions and waste resonate consistent with what is expected by the bank, the NGO and the government stakeholders.

The team member describes in good detail some of the economic challenges and logistics for H&M to run their sustainable initiatives smoothly. There is a good exposure on how limited yet is the recycling of used clothes as a small fraction of all produced and sold clothes. Despite new green funding schemes, it is questioned whether robust monitoring and reporting of the benefits of these programmes do really work. All these facts are presented from a risk assessment perspective.

2.2.4 Not-for-profit organisations

This is not a major stakeholder for the bank, as it qualifies as secondary. The team member defining the perspective for that role fall short of understanding who their real stakeholders should be. Such an organisation should be accountable first to society and consumers. The concept of carbon pricing mechanisms the team member suggests, is a potential viable solution that leads to quantify more reliably the carbon footprint for the textile organisation. The comprehensive emissions accounting concept reinforces a previous claim in Part 1, that this would let the bank as lender to fully assess the impact of the initiatives started by H&M, and determine whether there is solid outcomes, based on the lent money, and validate waste reduction and environmental impact

2.2.5 Politician

This is a relevant role to discuss public policy making, it would be more valuable to be provided within a European politics perspective instead of American, since the other roles and H&M are based in Europe. There is a very strong bias to analyse the context presented from a U.S perspective instead. The public and private partnering for innovation, seems to be appealing though.

There is consistency with the government role for promoting carbon pricing and taxing; likewise, there is overlap position of the NGO while pursuing wider social well-being and partnering with these organisations to educate consumers on sustainable fashion choices. Relevant metrics are mentioned for actual efforts on recycling such as 50% of all materials to be recycled by 2030. Tax credits and regional recycling centres would be beneficial to reduce their cost base, while proving good outcomes on waste

reduction. This in turn would reduce the estimated chances of going to default if they were to be provided a loan by the bank as exposed in Part 1.

2.3 Conclusion

Based on the cased of H&M scenario in Sustainable Textile Development, perspectives vary significantly across the six stakeholders discussed in the previous sections.

The investor role in contrast, seeks market growth and profitability, weighing sustainability against competitive advantage and consumer demand. Similarly, a government body focuses on regulatory compliance, national sustainability goals, and economic impact, ensuring alignment with environmental and trade policies. The not-for-profit organisation, however, emphasised ethical sourcing, environmental responsibility, and fair labour practices, advocating for systemic change over financial returns. The politician should view the investment as a policy lever, balancing economic growth and environmental. Lastly, the company CEO must integrate sustainability with corporate strategy, balancing costs, consumer trends, and regulatory mandates while maintaining profitability.

Finally, while stakeholder might value sustainable textile development, their motivations such as: short vs long term profit, impact, or strategy cab shape distinct approaches. The actionable solution presented by the bank I represent prioritises financial outcomes and return, assessing long-term environmental impact and minimise loan default risks through responsible lending and OKRs to fulfil by 2035.

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